

COURSE TITLE	FINANCIAL ACCOUNTING I
DURATION	3HRS
TYPE OF EXAMINATION	WRITTEN EXAM
LECTURER	Dr. Ayankeng Godlove N.

Instruction:

Answer Three Questions

ALL Questions carry 20 Marks Each

Take all calculations to 3 decimal places

Question One:

OMEGA Enterprise is specialized in the purchase and sales of goods. It provided the following information on the 1st of January 2025. (16 marks)

During the month of January 2023 the enterprise carried out the following transactions

01/01/2025 Initial cash in hand 600,000 FCFA

02/01/2025: Additional Cash 1200,000 FCFA

03/01/2025: Purchases of goods by cash from DUBILA 800,000 FCFA

05/01/2025: Sales of goods by cash to customer SUSAN worth 700,000 FCFA

04/01/2025: Received cash from Customer Susan worth 500,000 FCFA

07/01/2025: Customer NAZI settled by bank cheque worth 250,000 FCFA

09/01/2025: Payment of electricity and water bills by cash at 125000 FCFA and 68000FCFA respectively,

15/01/2025: Payment of salaries by cash at 50,000 FCFA.

25/01/2025: Sales of goods on credit to customer SUSAN worth 700,000 FCFA

28/01/2025: Purchases of goods by cash 400000FCFA from supplier DUBILA

Work required:

- Examine 3 uses of the cash book
- Record the following transactions into the cash book
- Establish the cash account.
- Determine the net balance
- Conclude

Question Two:

RANGO Ltd is specialized in the purchase and sales of a highly consumable goods provided the following information on the 1st January 2025.

Elements of the opening balance sheet in FCFA

Elements	Amounts(CFA)
Agricultural Land	4,200,000
Industrial Building	1,000,000
Share capital	10,000,000
Customer Peter	4,000,000
Customer Karl	300,000
Suppliers Kunga	800,000
Stocks of Goods	350,000
Cash	6,000,000
Afriland Bank	5,000,000

During the month of January 2025 the enterprise carried out the following transactions

03/01/2021: Purchases of goods by cash from Supplier Kunga 25000FCFA

05/01/2021: Sales of goods to Customer Peter by cash worth 350,000 FCFA

07/01/2021: Sales of goods worth 400000 FCFA to customer Rose by bank cheque (Afriland Bank)

08/01/2021: Purchases of goods using bank cheques (Afriland Bank) worth 350,000FCFA from Supplier Thomas

09/01/2021: Cash payment of electricity and water bills at 125,000 FCFA and 68,000FCFA respectively.

10/01/2021: Payment of salaries using a bank cheque 500,000 FCFA

Work required:

- Make a distinction between opening and closing balance sheet (1 Marks)
- Establish the opening balance sheet of (4 Marks)
- Proceed to the journal entries and consider a value added of 19.25% for sales and purchases (10 Marks)
- Establish the ledger accounts (10 Marks)
- Establish the six column trial balance (10 Marks)
- Proceed to the closing balance sheet (5 Marks)

Question three ✓
Enterprise John and Sons Enterprise presented the following balance sheet information:

- Share Capital	10 200 000
- long term loan	6 050 000
- Agricultural land	8 000 000
- Other agricultural land	6 000 000
- Administrative Building	10 000 000
- Office equipment	15 500 000
- Legal Reserves	8 015 000
- Stocks of goods A	10 500 000
- Supplier Amin	13 000 000
- Supplier Damita	975 000
- Customer Lisa	252 000
- Customer Daniel	12 000 000
- Customer Advances	400 000
- Taxes owed	7 121 000
- Customer Julius	855 000
- Bank Overdraft	1 364 000
- Afriland Bank	6 415 000
- Poster cheque	1 000 000
- Cash at Hand	1 500 000

Work required

- Explain the process of recording elements in the balance sheet.
- List any (8) accounting principles. *Exercice 1*
- Establish the balance sheet
- Examine the result in (b) above
- Comment on this type of balance sheet
- Calculate the net situation of the enterprise

Question four

Mani Ltd Enterprise is an enterprise specialized in the purchase and sales of a highly consumable product goods and has provided the following information on the 1st March 2022.

Elements of the opening balance sheet in FCFA

Elements	Amounts(FCFA)
Agricultural Land	3,600,000
Industrial Building	2,000,000
Share capital	10,000,000
Customer Rosa	3,000,000
Suppliers Chief	800,000
Stocks of Goods	300,000

Cash	800,000
Bank Overdraft	1000,000
Bank Loan	400,000

During the month of March 2022 the enterprise carried out the following transactions:

- 03/03/2022: Cash purchases of goods from Supplier Chief 260000FCFA
- 05/03/2022: Sales of goods to Customer Rosa worth 325000 FCFA by bank cheque
- 07/03/2022: Cash sales of goods worth 6000000 FCFA to customer ATATU
- 08/03/2022: Purchases of goods using bank cheques worth 450000FCFA from supplier Chief
- 09/03/2022: Cash payment of electricity and water bills at 125000 FCFA and 68000FCFA respectively.
- 10/03/2022: Payment of salaries using a bank cheque 500000 FCFA

Work required:

- g) Establish the opening balance sheet of Mani ltd (8 Marks)
- h) Proceed to the journal entries and consider a value added tax of 19.25% for sales and purchases (7 Marks)

Question five: John and Sons Enterprise recorded the following operations in the same month.

- ✓ 03/01/2024: Purchases of goods by bank cheque from LISA 100,000 FCFA
- ✓ 05/01/2024: Sales of goods by cash to customer QWIN worth 620,000 FCFA ✓ ii
- ✓ 04/01/2024: Received cash from Customer LUCAS worth 20,000 FCFA ✓ ii
- ✓ 07/01/2024: Customer Landry settled by bank cheque worth 250,000 FCFA
- ✓ 09/01/2018: Payment of electricity and water bills by bank cheque at 125000 FCFA and 68000FCFA respectively.
- ✓ 13/01/2024: Purchases of goods by cash from LISA 600,000 FCFA ✓ iii
- ✓ 15/01/2024: Sales of goods by cash to customer LUCAS worth 800,000 FCFA ✓ iv
- ✓ 24/01/2024: Received cash from Customer Susan worth 300,000 FCFA ✓ v
- ✓ 27/01/2024: Customer QWIN settled by bank cheque worth 250,000 FCFA
- ✓ 29/01/2024: Payment of electricity and water bills by cash at 125000 FCFA and 68000FCFA respectively.

Work required:

1. What is an economic flow and explain two categories of economic flows?

2. Represent the transactions above in a flow diagram.
3. Register the transitions in a double column cash book

Good luck